

Post-Socialist Trade Unions, Low Pay and Decent Work

Background

Trade unions are unduly neglected in research on civil society and non-governmental organisations and their potential role in poverty alleviation is equally underestimated. However, trade unions are usually by far the largest non-governmental organisations, both in membership and resources, and their espoused aim is to protect the rights and interests of members who, at least potentially, include the most unprotected and impoverished members of society. Trade unions, like many other NGOs, necessarily exist at the intersection of state and civil society. The forms and activities of trade unions are strongly conditioned by the political and legislative environment in which they operate, and much of their activity is directed at lobbying government and harnessing state resources. A central issue that confronts all trade unions is the relative priority to be given to lobbying and enlisting the support of the state, on the one hand, and achieving their objectives through the self-organisation of their members and bargaining with employers, on the other. (No references are included here, for reasons of space, but see the applicants' CVs).

Trade unions in post-socialist societies are particularly interesting from the perspective of the role of trade unions in the alleviation of poverty, first, because of their substantial membership and resources inherited from the socialist past; second, because low and unpaid wages and poor working conditions are major factors underlying urban poverty in post-socialist countries; third, because the unions claim to represent all workers, not only union members, while the development of a capitalist market economy outside direct state control forces the unions to reconsider their role.

In the state socialist system the regulation of wages and working conditions were state functions, in the determination of which the trade unions played a minor role. Since the development of a capitalist market economy, the state has largely abandoned its role of directly regulating labour conditions and these functions have devolved to the trade unions, within a framework of legal regulation, under greater or lesser state supervision. However, the trade unions can seek to perform this new role in two contrasting ways. On the one hand, the trade unions can lobby the government in an attempt to secure the passage and enforcement of legislation prescribing minimum wages and labour standards. On the other hand, the trade unions can seek to secure adequate wages and working conditions through their own efforts, by organising employees and negotiating with employers. In Russia, China and Vietnam the trade unions pursue both of these approaches, with differences in emphasis between countries, between regions and over time.

International co-operation has been important in helping the post-socialist trade unions to adjust to their new role. Although the ICFTU and some national centres have refused to have any direct contact with the Chinese and Vietnamese trade unions, the ILO, Global Union Federations (GUFs) and national trade union centres have provided training and technical support for the development of tripartite institutions, trade union organising and collective bargaining. International pressure has also been mobilised by NGOs to persuade multinational corporations to enforce codes of conduct on their subcontractors, notably in China and Vietnam, trade unions potentially playing an important role in developing and monitoring the implementation of such codes of conduct.

The central aim of the project is to identify the most effective role that trade unions can play, in conjunction with differing state policies and practices, in seeking to secure adequate wages and working conditions on the basis of a series of case studies of trade union activity in Russia, China and Vietnam and to draw the appropriate policy conclusions for national and international trade union and labour organisations. Trade unions have a very poor reputation in the post-socialist countries and have not been noted for their activism, but in each country there have been significant initiatives taken at workplace and local levels and the project will focus on these

initiatives in order to identify **best practice** in different environments. The central hypothesis is that an active local and workplace trade union organisation is essential for effective trade union efforts to achieve a living wage and reasonable working conditions. This is because an active workplace trade union, supported by the local trade union apparatus, can negotiate and enforce an effective collective agreement and/or more effectively monitor the observance of legislation and codes of conduct. The relative ineffectiveness of trade union action to protect wages and working conditions in the past has been a consequence of the weakness of workplace trade union organisation, but the unions in all three countries have declared it a priority task to support and to increase the effectiveness of their workplace organisations.

Proposed Research

The proposed research will study the activity of trade unions directed at the problems of low pay and poor working conditions in Russia, China and Vietnam at all levels, from the national organisation to the workplace, but the emphasis will be on the effectiveness of such activity at the local and workplace levels. The research will comprise a study of the strategy and policy of the national and regional trade union centres and appropriate industrial (branch) unions, and case studies of the interaction of trade unions, government regulatory authorities and employers in selected regions of Russia, China and Vietnam. The research will focus on two contrasted groups of low-paid workers in each location: on the one hand, public service workers, who have a high level of unionisation and whose wages and working conditions are still nominally regulated by the government, and workers in the private and foreign-owned sectors, who are weakly unionised and where the legal and administrative regulation of pay and working conditions is largely ineffective. The research will also investigate the role of new trade unions (Russia) and spontaneous workers' actions (China and Vietnam) in stimulating the activity of the established trade unions.

The political environment in which the trade unions operate is an important determinant of the potential for effective trade union action in securing decent work. The case study locations have been selected to provide a wide range of contrasting political environments and trade union strategies.

In Russia the trade unions are fully independent of the political system and there is little legal regulation of wages and working conditions or legal protection of trade union rights. However, within Russia the political environment is very different in different regions. The Russian regions selected for case study are **Samara**, which has a liberal regime in which there is minimal interaction between trade unions and the authorities; **Perm'**, which has a well-developed system of social-partnership in which the trade unions work closely with the regional labour department and employers' organisations, and **Kemerovo**, which has an authoritarian regime in which the regional authorities seek to restrict the independent role of civil society organisations and to harness them as instruments of the authorities' social policies.

In China and Vietnam the trade unions are still under the 'leadership' of the Communist Party, which both limits and facilitates their activity. On the one hand, the trade unions have to operate within strategic parameters dictated by the Communist Party, although they have a great deal of flexibility in how they implement Party policy. On the other hand, the trade unions enjoy the support of the Party-state in carrying out their trade union functions. China has implemented a liberal framework for the regulation of labour relations, with minimum legal guarantees of wages and working conditions. Vietnam has a much more protective Labour Code, with strict regulation of working hours and a minimum wage which is supposed to guarantee a minimum level of subsistence. In both countries the trade unions, at least in principle, enjoy quite strong legal protection and have the support of the Party-state in seeking to extend trade union organisation to the non-state sector. However, in both China and Vietnam the enforcement of labour legislation is notoriously lax. The reliance for the growth of income and employment on low-wage labour-intensive production for competitive export markets means that the authorities

are often less than enthusiastic to enforce legislation which might weaken the competitive advantage of local employers. International pressure has had some impact in enforcing the adoption of codes of conduct by subcontractors in China and Vietnam, though monitoring of observance is far from complete. The failure effectively to enforce national legislation and international standards from outside means that the monitoring of working conditions and enforcement of minimum standards falls particularly to the workplace trade union organisation. In the past, effective workplace trade union organisation has not been a priority of the Party-state, but this situation is changing as a result of growing labour activism, expressed in the incidence of spontaneous strikes, and international pressure.

In China there is scope for experimentation in different regions and there is considerable variation in trade union practice, corresponding to differences in the economic environment and the policy of the regional Party-state apparatus. The case study regions have been selected on the basis of having active trade unions and contrasting employment characteristics:

Guangdong has seen a dramatic growth of private manufacturing industry, with substantial foreign, and particularly Overseas Chinese, investment employing rural migrant workers. Wages and working conditions for migrant workers in many factories are notoriously bad and Guangdong regularly has one of the highest numbers of registered labour disputes in China, with a recent rapid increase in the number of strikes. In the past, migrant workers were excluded from the trade unions, but in 2003 ACFTU made the extension of trade union membership and protection to migrant workers a priority. The ACFTU in Guangdong over recent years has acquired a reputation for pioneering work in labour relations, especially in the field of labour regulations, in an economic environment dominated by foreign capital.

The ACFTU has been more proactive in adapting to the new realities in the booming **Zhejiang** province than anywhere else in China, having introduced the direct election of trade union cadres in an attempt to revitalise trade union primary organisations. Zhejiang has a thriving state sector and a large number of domestic private enterprises. We plan for the Zhejiang research team also to conduct a case study in Nanjing, capital of the neighbouring **Jiangsu** province. In recent years, the Nanjing City Federation of Trade Unions (NcFTU) has organised neighbourhood trade unions and in 2003 funded 76 'political assistants' to run these trade unions and organise collective 'bargaining' (a term used in place of the more usual 'consultation') in the private sector.

In Vietnam the research will concentrate on **Hanoi** on the grounds that the political system in Vietnam is very centralised and Hanoi is the seat of government. Although there is a much higher level of foreign investment and of strike activity in the South, there is not very much variation in the forms of trade union and government activity in North and South.

The project will be directed by Simon Clarke, who has been researching trade unions and labour relations in Russia since 1990, has been involved in the comparative study of Russian and Chinese trade unions since 1997, and conducted a study of Vietnamese industrial relations in 2004. All his research has been in close collaboration with the national trade unions and with international trade union and labour organisations (ICFTU, GUFs and the ILO). He has considerable experience of managing large international collaborative research projects and reads and speaks Russian. He will be supported by a very experienced Chinese-speaking Research Fellow based in Warwick, Tim Pringle, who will take primary responsibility for the Chinese research. Tim has been researching labour relations in China for many years and has very strong local and international connections.

Research Teams

The research will be conducted in collaboration with local researchers with whom Simon Clarke has been working for many years. In Russia the research will be subcontracted through the Moscow-based inter-regional Institute for Comparative Labour Relations Research (ISITO), in

collaboration with which Simon Clarke has conducted all of his Russian research and which has very experienced research teams in Perm', Kemerovo and Samara. The Director of ISITO is a former doctoral student of Simon Clarke's and is also currently the ICFTU representative in the CIS countries. The Moscow office of ISITO will maintain links with the trade unions at national level and conduct research on relevant policy developments and debates in Moscow.

In China and Vietnam the research will be subcontracted through the Hong-Kong based Asia Monitor Resource Centre (AMRC), with which Simon Clarke has collaborated since 1997, whose research director is also a former doctoral student of his, and with which Tim Pringle has collaborated closely for almost ten years. AMRC has been heavily involved in studying trade union activity and the implementation of CCCs in East Asia for many years and has an excellent network of trade union and NGO contacts throughout the region.

Local Chinese research teams will be headed by Professor Liu Linping of Zhongshan University in Guangzhou and Professor Xu Xiaohong in Zhejiang Union Institute, experienced researchers who have been long-standing collaborators with AMRC.

The research team in Vietnam will be headed by Do Quynh Chi of the International Cooperation Department of the Ministry of Labour, Invalids and Social Affairs in Hanoi, who was the national consultant on Simon Clarke's field trip to Vietnam. Ms Chi has a recent MPhil from Cambridge University, speaks perfect English, has an excellent understanding of industrial relations, and is a very experienced participant in international projects.

Chang Kai, Professor of Industrial Relations at Renmin University, Beijing will participate as a consultant to the project, supported by the resources of the newly established Institute of Labor Relations of Renmin University, to report on policy developments and debates within ACFTU at national level and to advise on the sensitive issue of cooperation with ACFTU.

Simon Clarke has two 1+3 Chinese doctoral students, who will start their PhDs in October 2005, one Cantonese and one Mandarin speaking, who will work alongside the project.

Simon Clarke will directly supervise the work of the Russian research groups and Tim Pringle those in China. They will jointly supervise the work in Vietnam. Fieldwork will be monitored through monthly progress reports and regular site visits. Tim Pringle will also spend about ten weeks working with the Chinese research teams, to train the researchers and participate in the fieldwork. Between visits, local co-ordination and support will be provided by ISITO and AMRC, which will ultimately be responsible to Simon Clarke through their Director and Research Director respectively.

The research will be conducted in parallel with Simon Clarke's current research project on post-socialist trade unions, funded by INTAS from May 2004 to April 2007, which has research teams in Russia, Belarus, Moldova, Kazakhstan and Kyrgyzstan and collaborators across Central and Eastern Europe.

Methodology and Time Schedule

The proposal is for a three-year project. The methodology employed will be that of comparative case study research, very successfully developed by the applicant and his colleagues in their research in the Former Soviet Union and used by AMRC in collaboration with local research teams in East Asia. The focus of the case studies will be trade union policy and practice in relation to low pay and poor working conditions in the two sectors noted above. The case studies in each locality will combine the study of the activity of the local trade union organisation with case studies of a number of workplaces.

The first six-months of the project will be devoted to research into trade union policy and practice in relation to low pay, non-payment of wages and working conditions at national, regional and local levels. This part of the research will be based on a review of policy documents and interviews with trade union officers in ACFTU, VGCL and FNPR and of the relevant branch

(industrial) unions. Research on policy at national level will be conducted by collaborators in Moscow and Beijing, who will monitor policy discussions over the duration of the project. In addition, Tim Pringle and/or Simon Clarke will visit each research site during this period to organise the fieldwork: identifying the foci of the local case studies; securing access; making logistical arrangements and briefing and training the local researchers.

The focus for the following eighteen months will be the local case studies. During this period developments at the national and regional levels will continue to be monitored. In this phase local researchers will study the activity of the local trade union apparatus and the activity of workplace trade unions in relation to pay and conditions in the public service sector and the private sector. The study of the activity of the trade union apparatus will involve monitoring policy implementation through a review of documentary sources; interviews with trade union officers and officials of the local labour department; shadowing trade union organisers; sitting-in on trade union meetings and conferences; observing organising activities; and organising focus groups of workers and workplace trade union activists in workplaces visited by trade union officers, to find out exactly what the unions are doing, what problems they face, how they overcome those problems and what results they achieve. Local research teams will attempt to assess the significance of an active trade union organisation for securing decent work by conducting expert interviews with labour inspectors attached to the trade unions and the local labour department and by analysis of any available data on wages and working conditions in different enterprises.

The study of workplace trade unions will be achieved through workplace case studies. The workplaces selected for case study will be 'model enterprises' in which the local trade unions consider that they have made the most progress in securing satisfactory pay and working conditions, whether through collective organisation or administrative intervention, or in which the researchers have independently identified such activity, including workplaces organised by new unions (Russia) or in which there has been spontaneous protest, and workplaces subject to CCCs. The focus on 'best practice' will facilitate access to workplaces by reassuring the local authorities that we are not seeking to publicise scandalous working conditions. Workplace case studies will involve interviews with personnel managers and trade union activists and focus group discussions with workers, centred on trade union activity to protect pay and working conditions, and the collection of relevant data on wages and working conditions. Contact will be maintained with key informants in each case study enterprise to monitor developments over the period of the fieldwork and return visits will be made as appropriate.

The balance between these two aspects of the research, and correspondingly the number of workplace case studies undertaken, will be different in different locations, depending on how active the local trade union apparatus is. In Vietnam, for example, the local trade union apparatus is not very active and provides little support for workplace trade unions, the degree of whose activity depends primarily on the initiative of the workplace trade union leader or spontaneous workers' activity, so in Vietnam the emphasis will be on workplace case studies and identification of the needs of workplace union organisations for support from the higher levels.

The fieldwork will be carried out by local researchers who will maintain research diaries, report monthly on the progress of the fieldwork, write up field notes continuously and produce an analytical report of their findings at the end of the period of fieldwork. Because we were asked to reduce the cost of fieldwork, the precise extent of the fieldwork will be cost constrained, but we would expect to complete between eight and twelve workplace case studies in each location (we have decided that it is important to reduce the cost in this way, rather than by reducing the range of case studies, as suggested by the panel, in order to ensure broad comparative coverage). Each local research team will keep timesheets and an account of expenditure on labour, local travel and consumables which will be monitored monthly to keep expenditure within the budget. Each local research team will maintain a research diary and provide a monthly report on expenditure and on the progress of the fieldwork.

In the final year of the project, monitoring of the research objects will continue, but the emphasis will be on data analysis, the preparation and dissemination of synthetic reports and the preparation of papers for academic publication. One research seminar will be held at the end of the fieldwork period to review the findings of the fieldwork and a second research seminar will be held six months later, with the presentation of analytical papers. The research seminars will involve Simon Clarke, Tim Pringle and one representative from each research team. Four dissemination seminars will be organised in Moscow, Hanoi, Beijing and Geneva towards the end of the project. The first three will be oriented to the national trade unions and international organisations located in those cities, the seminar in Geneva will be oriented to international NGO and trade union and labour organisations.